IN THE HIGH COURT OF KARNATAKA AT BENGALURU
DATED THIS THE 13TH DAY OF JULY, 2023
BEFORE
THE HON'BLE MR. JUSTICE B.M. SHIVAKUMARASWAMY

CRIMINAL PETITION NO. 3120 OF 2023

BETWEEN:

SRI PRAKASH N. REDDY
S/O NARAYANA REDDY,
AGED ABOUT 44 YEARS,
R/AT NO.56, 2ND STAGE,
JAYANAGAR, MYSURU - 570 014. **...PETITIONER**

(BY SRI GURURAJ V. HEGDE, ADVOCATE)

AND:

M/S SHREE DURGA FINSERVE,
REPRESENTED BY ITS AUTHORISED OFFICER
SRI SHASHIDHARA M.,
MYSURU - 570 001. **...RESPONDENT**

(BY SMT. LAKSHMI R. IYENGAR, ADVOCATE)

THIS CRIMINAL PETITION IS FILED UNDER SECTION 482 OF CR.P.C., PRAYING TO QUASH THE PROCEEDINGS IN C.C.NO.2478/2022 PENDING ON THE FILE OF THE III ADDL. CIVIL JUDGE AND JMFC, MYSURU, FOR THE OFFENCE PUNISHABLE UNDER SECTION 138 OF THE NEGOTIABLE INSTRUMENTS ACT, 1881.

THIS PETITION, HAVING BEEN HEARD AND RESERVED FOR ORDERS ON 29.06.2023, COMING ON FOR PRONOUNCEMENT OF ORDERS THIS DAY, THE COURT MADE THE FOLLOWING:

ORDER

1. The petitioner is the accused in C.C.No.2478/2022 on the file of the III Addl. Civil Judge and JMFC, Mysuru, for the offence punishable under Section 138 of the Negotiable Instruments Act, 1881 ("the NI Act"). He has approached this Court under Section 482 of the Code of Criminal Procedure, 1973 seeking to quash the proceedings.

2. The respondent, a financier, extended a vehicle loan of Rs.6,00,000/- to the petitioner in 2021. The petitioner furnished two undated cheques as security. After he defaulted in payment of eight instalments, the loan was recalled by notice dated 11.04.2022 and one of the cheques was presented for Rs.4,10,000/-, the outstanding amount. It was returned unpaid for "Funds Insufficient".

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3. Sri Hegde, learned counsel for the petitioner, submits that the cheque was handed over only as security at the time of the loan and that no liability existed on that date. He submits that a security cheque does not attract Section 138 of the NI Act.

4. Smt. Iyengar, learned counsel for the respondent, submits that the liability matured on default and recall of the loan and that the cheque was presented for the outstanding amount within the period of its validity. She relies on the decision of the High Court of Delhi dated 20.04.2023 in Sukhdev Raj Sehgal v. M/s Pragati Micro Finance (Crl.M.C. 1655/2023).

5. The question is whether a cheque given as security for a loan attracts Section 138 of the NI Act upon dishonour.

6. A cheque handed over as security stands on the same footing as any other cheque once the liability has matured and the cheque is presented; the offence under Section 138 of the Negotiable Instruments Act, 1881 is attracted where, at the time of presentation, there is a legally enforceable debt.

7. In the present case the loan had been recalled and an amount of Rs.4,10,000/- was admittedly outstanding on the date of presentation. Whether the petitioner has a defence as to the quantum is a matter for trial. In the result, I pass the following:

ORDER

The criminal petition is dismissed. The trial Court shall dispose of the case expeditiously.

Sd/-
JUDGE

BMS

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